AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS IX EXAMINATION

MAY 2014

Business Studies Paper II

Time: 2 hours 25 minutes Marks: 50

INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's signature**

2. RUBRIC. There are EIGHT questions. Answer ALL questions. Questions 7 & 8 each offer TWO choices. Attempt any ONE choice from each.

3. When answering the questions:

   Read each question carefully.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   DO NOT use staples, paper clips, glue, correcting fluid or ink erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).

5. You may use a simple calculator if you wish.

Q.1. (Total 7 Marks)

a. Define the following terms:

i. Profession (1 Mark)

_____

_____

ii. Occupation (1 Mark)

_____

_____

b. Identify and classify sectors of economy in the following business activities. (3 Marks)

i.		**Sector of Economy**
ii.		
iii.		

c. Differentiate between the public and private sectors of an economy. (2 Marks)

Private Sector	Public Sector
1.	1.
2.	2.

Q.2. (Total 5 Marks)

a. Explain the following styles of leadership. (2 Marks)

Autocratic leadership_____

_____

_____

Democratic leadership_____

_____

_____

b. Elaborate any THREE qualities of a good leader. (3 Marks)

_____

_____

_____

_____

_____

_____

Q.3. (Total 7 Marks)

a. Discuss any FOUR advantages of implementation of technology in a business enterprise. (4 Marks)

b. Discuss any THREE advantages of operating in a competitive market for a business. (3 Marks)

Q.4. (Total 6 Marks)

a. Calculate the missing amounts with reference to the accounting equation. (3 Marks)

	Assets	Liabilities	Equities
A	2,15,000	1,90,000	?
B	?	140,000	30,000
C	84,000	?	12,000

A. _____

B. _____

C. _____

b. State and describe any THREE sources of finance for business organizations. (3 Marks)

_____

_____

_____

_____

_____

_____

Q.5. (Total 6 Marks)

a. 'Businesses have to decide where to sell their products. They also have to decide how to get the product to the consumer that is where the channel of distribution is used.'

Explain the use of any FOUR channels of distribution assuming that the goods are being exported to a foreign country. (3 Marks)

b. Explain THREE major aims of promotion in marketing. (3 Marks)

Q.6. (Total 3 Marks)

Suppose you are an owner of a small furniture store and you require a sales person for your store. The candidate should be presentable and have good communication skills. What steps or processes will you follow for recruitment of employees from external market sources?

Q.7. (Total 8 Marks)

EITHER

a. Pricing is one of the four elements of the marketing mix, along with product, place and promotion. Pricing strategy is important for companies who wish to achieve success by finding the price point where they can maximize sales and profits. Companies may use a variety of pricing strategies, depending on their own unique marketing goals and objectives.

Explain any FOUR such pricing strategies a business firm may use. Give an example of each pricing strategy.

OR

b. Highlight FOUR major differences between job specification and job description.

Q.8. (Total 8 Marks)

EITHER

a. What do you understand by the term business growth? Explain THREE reasons why businesses seek to grow.

OR

b. Explain the term organizational chart and its THREE merits for a business organization.

END OF PAPER